TOPIC 2 · AUSTRALIA'S PLACE IN THE GLOBAL ECONOMY

The Conversation · Lurion De Mello, Macquarie University
Published 5 November 2026

Diesel shock: Australia scrambles for new suppliers, at a cost

Australia is the **world's largest importer of seaborne diesel**. War in the Gulf and drone strikes on Russian refineries have redrawn the global diesel map, pushing up prices and leaving Australia dependent on a **narrower set of suppliers**.

WHAT THE ARTICLE SAYS

- **Dependence:** Australia imported about **28 billion litres** of diesel last year, almost **8%** of all diesel traded by sea. It is vital for freight, mining and farming.
- **Supply shocks:** Iran closed the **Strait of Hormuz** on 28 February. Ukrainian drone strikes cut Russian output, and Russia's share of global diesel arrivals fell from **12% to 2%**.
- **Prices:** diesel peaked at **A$3.20/L** and is still about **$2.79**, almost $1 more than a year ago. Australia paid an extra **A$9 billion** for diesel imports between March and August, about $324 per person.
- **New suppliers:** US exports are up about **50%** and the US is now the top exporter. Asia's share of seaborne diesel rose from 28% to almost **40%**.
- **Concentration risk:** South Korea's share of Australia's diesel imports rose from **29%** to almost **half**, but Korean refiners still rely on Middle Eastern crude. Indian diesel hasn't arrived since July, and the US floated (then ruled out) a diesel export ban.

28b litres
Australia's diesel imports last year

A$2.79/L
Diesel price now, almost $1 above a year ago (peak $3.20)

+A$9b
Extra diesel import cost, Mar–Aug 2026

29% → ~50%
South Korea's share of Australia's diesel imports

DIAGRAM

A supply shock meets inelastic demand



Freight, mining and farming have **few substitutes** for diesel, so demand is **price-inelastic** (the steep D curve).

When the Hormuz closure and Russian refinery strikes shift world supply from **S_1 to S_2**, quantity falls only slightly (**Q_1 to Q_2**) but the price jumps from **P_1 to P_2**. Australia keeps importing similar volumes, about 488,000 barrels a day, but pays far more.

BAR CHART

Seaborne diesel exports: change from 2025 average to Apr–Oct 2026



Exam angle: higher import prices for fuel **worsen Australia's terms of trade** and add to the **import bill** in the current account. They also feed into **cost-push inflation** (Topic 3) and show the **risks of globalisation**: reliance on a few suppliers threatens fuel security.

Syllabus link: Topic 2: Australia's trade and financial flows (direction and composition of imports); terms of trade; current account. Topic 1: global supply shocks and the shifting pattern of world trade. Topic 3: cost-push inflation.

Try this

1. Explain how higher world diesel prices affect Australia's terms of trade and current account balance. **(4 marks)**
2. Using a supply and demand diagram, explain why diesel prices rose so sharply in 2026. **(4 marks)**

Source: theconversation.com/as-diesel-from-the-gulf-and-russia-dried-up-australia-had-to-find-new-suppliers-at-a-cost-295461 · Data: LSEG vessel tracking, analysis by Lurion De Mello (Macquarie University); Climate Council (extra import cost).

Diagrams are illustrative, not to scale